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Greater China Technology Hardware | Asia Pacific

ABF substrates – Kinsus announces preliminary August profit

Key Takeaways

- August pre-tax margin reached 23.1%, vs. 14.3% in 2Q26.
- With one month’s net profit equivalent to more than half of consensus quarterly earnings, the disclosure suggests upside risk to Kinsus’ 3Q consensus estimates.

What’s new? Kinsus (3189.TW, not covered) reported August 2026 profit per TWSE regulatory requirements:

- August revenue was NT\$4,810M (+6% m/m, +41% y/y). July and August revenues accounted for 68% of the consensus 3Q revenue estimate.
- August pre-tax profit was NT\$1,110M (+256% y/y), 51% of the consensus 3Q pre-tax profit forecast.
- August net profit was NT\$817M (+354% y/y), 55% of the consensus 3Q net profit estimate.

Our thoughts:

Kinsus is one of the leading global IC substrate suppliers, with exposure to both ABF and BT substrates and the highest BT revenue mix among Taiwanese substrate peers. We see an encouraging read-through to Unimicron and NYPCB, both rated OW, to the extent that the strength reflects improving underlying substrate profitability. The results are consistent with our constructive view of ABF substrate makers and continued margin improvement.

Exhibit 1: Kinsus' preliminary August 2026 profit numbers

Kinsus NT\$ M	3Q26			
	Aug-26	y/y	Cons	% of Cons
Revenue	4,810	41%	13,768	35%
Pre-tax profit	1,110	256%	2,160	51%
Net profit	817	354%	1,477	55%
EPS (NT\$)	1.59	298%	2.98	53%
Pre-tax margin	23.1%	14.0ppts	15.7%	
Net margin	17.0%	11.7ppts	10.7%	

Source: Company data, Visible Alpha.

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GREATER CHINA TECHNOLOGY HARDWARE
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Industry View In-Line

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Unimicron 3037.TW			
Kinsus announces preliminary August profit	23 Sep 2026	Strengthens	↑ Meaningful upside surprise
Nan Ya PCB 8046.TW			
Kinsus announces preliminary August profit	23 Sep 2026	Strengthens	↑ Meaningful upside surprise

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Unimicron (3037.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.2% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 15%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected ABF substrate demand from PC and server customers
- Capex cuts; halt to its capacity expansion plan
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

Risks to Downside

- Sudden demand shortfall
- Technological change that would not require ABF substrates
- Intensifying competition
- Yield issues or production hiccups when ramping new capacity

Nan Ya PCB (8046.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.3% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 17%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected ABF and BT demand
- Faster-than-expected pickup in AI and 5G demand
- Stronger-than-expected ASP hike
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

Risks to Downside

- Sudden demand shortfall, creating headwinds for ABF substrate demand and pricing
- Technological change that would not require ABF substrates
- Intensifying competition

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(as of August 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

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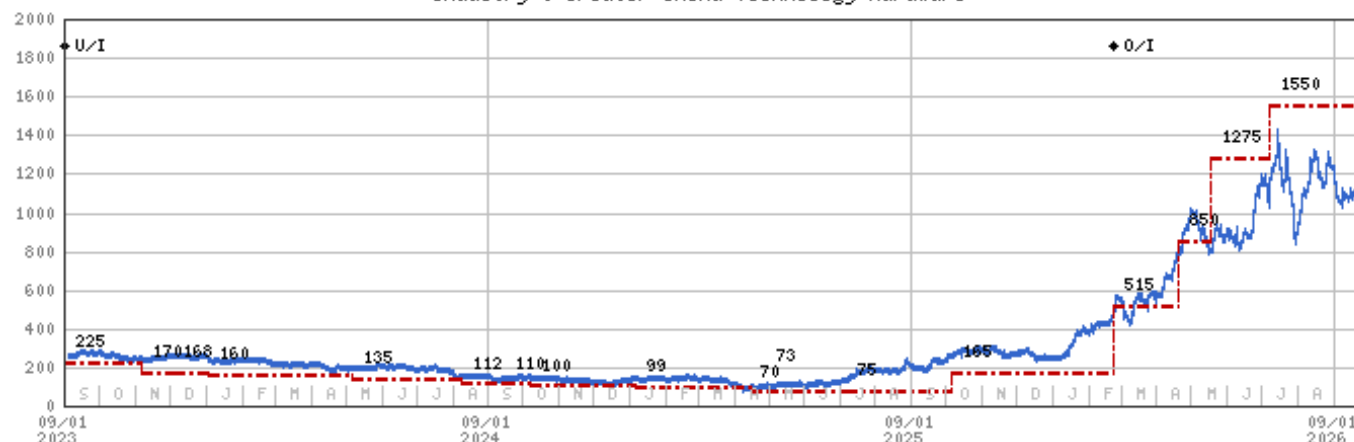
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Stock Price, Price Target and Rating History (See Rating Definitions)

Nan Ya PCB (8046.TW) - As of 09/23/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 9/1/21 : NA/I; 10/22/21 : O/I; 6/1/22 : E/I; 12/21/22 : U/I; 2/23/26 : O/I

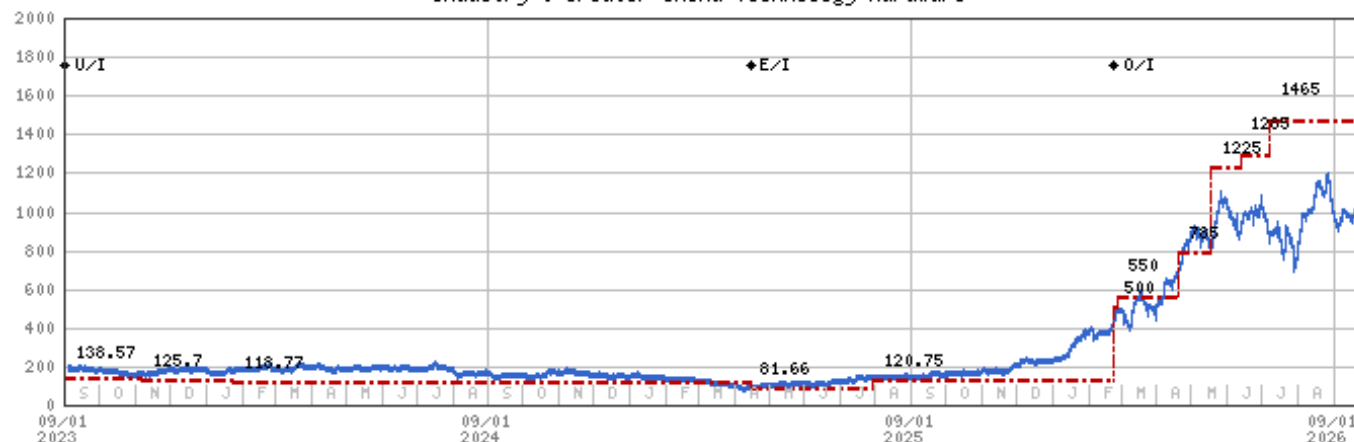
Price Target History: 10/22/21 : 580; 11/9/21 : 630; 2/9/22 : 650; 2/25/22 : 670; 6/1/22 : 420; 8/23/22 : 275; 10/27/22 : 235; 12/21/22 : 180; 2/2/23 : 165; 2/25/23 : 155; 6/7/23 : 225; 11/7/23 : 170; 12/4/23 : 168; 1/4/24 : 160; 5/7/24 : 135; 8/9/24 : 112; 9/15/24 : 110; 10/8/24 : 100; 1/6/25 : 99; 4/15/25 : 70; 4/29/25 : 73; 7/7/25 : 75; 10/6/25 : 165; 2/23/26 : 515; 4/20/26 : 850; 5/18/26 : 1275; 7/7/26 : 1550

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Unimicron (3037.TW) - As of 09/23/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 9/1/21 : NA/I; 10/22/21 : O/I; 6/1/22 : E/I; 2/22/23 : U/I; 4/15/25 : E/I; 2/23/26 : O/I

Price Target History: 10/22/21 : 188.06; 10/27/21 : 237.55; 2/9/22 : 267.24; 2/24/22 : 366.22; 6/1/22 : 237.55; 8/23/22 : 178.16; 10/27/22 : 133.62; 12/21/22 : 123.72; 2/2/23 : 116.79; 2/22/23 : 98.98; 6/7/23 : 138.57; 11/7/23 : 125.7; 1/24/24 : 118.77; 4/15/25 : 81.66; 7/30/25 : 120.75; 2/23/26 : 500; 2/26/26 : 550; 4/20/26 : 785; 5/18/26 : 1225; 6/12/26 : 1285; 7/7/26 : 1465

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (09/23/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.48
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb190.00
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$22.98
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.38
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.85
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb451.20
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$905.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb24.45
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.28
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb33.11
Largan Precision (3008.TW)	E (09/10/2026)	NT\$6,190.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.26
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.37
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.04
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$59.25
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb54.37
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.85
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.16
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb74.58
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$43.54
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb55.65
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$65.00
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb275.40
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.10
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.18
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb457.89
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$195.70
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb115.58
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb26.19
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb922.50
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,190.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$22.60
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb32.28
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,890.00
Advantech (2395.TW)	O (01/20/2021)	NT\$701.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,230.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,470.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$34.70
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,595.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,340.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb6.02
Chenbro (8210.TW)	O (07/23/2025)	NT\$892.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,325.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,900.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$144.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$67.50
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,600.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$323.50
Innolux (3481.TW)	E (04/07/2025)	NT\$49.60
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,390.00

Lens Technology (300433.SZ)	E (07/22/2020)	Rmb34.04
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$283.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.93
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.59
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb210.68
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.55
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$958.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$209.00
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$36.80
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$5,020.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.60
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb62.98
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$365.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,140.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$256.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb71.27
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$51.55
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,680.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$36.92
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,690.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,210.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$91.30
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$341.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb143.56
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb414.77
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,160.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$552.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$180.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,105.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$573.00
Zhen Ding (4958.TW)	++	NT\$473.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$497.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,460.00

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* Historical prices are not split adjusted.